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To Debtors A/c xxx

(b) For transferring bad debts

Provision for doubtful debts A/c Dr. xxx

To Bad debts A/c xxx

(c) For creating provision to the extent of difference

Profit and Loss A/c Dr. xxx

To Provision for doubtful debts A/c xxx

(d) For writing back provision to the extent of difference

Provision for doubtful debts A/c Dr. xxx

To Profit and Loss A/c xxx

(xiii) Provision for discount on debtors

Cash discount is allowed by the suppliers to customers for prompt payment of amount due either on or before the due date. A provision created on sundry debtors for allowing such discount is called provision for discount on debtors. This provision is a charge against profit and hence profit and loss account is debited.

Provision for discount on debtors is made on the basis of past experience at an estimated rate on sundry debtors. Discount should be calculated on sundry debtors after deducting bad debts and provision for bad debts.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Profit and loss A/c	Dr.		xxx	
To Provision for discount on debtors A/c				xxx
(Provision for discount on debtors created)				

Presentation in final accounts

In Profit and loss A/c	Amount of provision for discount on debtors is shown on the debit side.
In Balance Sheet	Amount of provision for discount on debtors is deducted from sundry debtors on the assets side.

Tutorial note

1 Provision for discount on debtors is calculated on the balance of debtors after deducting bad debts and provision for doubtful debts. This is because provision for discount is to be expected only on good book debts. When the amount realisable itself is doubtful, provision for discount is not to be made. Similar to bad debts and provision for doubtful debts, here also discount allowed to debtors must be transferred to provision for discount on debtors account if a provision exists.

2. When provision already exists and appears in trial balance, the accounting treatment is as below: